

Abu Dhabi Commercial Bank PJSC (ADX: ADCB)

Independent valuation study • 10 July 2026 • spot AED 15.10 (03-Jul close) • 7,912.2mn shares • market cap ~AED 119.5bn (~US\$32.5bn) • third-largest UAE bank • newest name in Testahil's UAE coverage

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What the numbers are. Model outputs under stated assumptions — every input is disclosed, every unsourced driver is logged in a public ledger, and every published forecast is graded after the fact on the public Calibration Ledger.

The two clocks. The weighted central (AED 19.7) is a risk-adjusted ~12-month anchor. The strategy-delivered value (AED 23.0 at a peace-time K_e) is a multi-year ceiling. The only genuinely 3-month figures in this study are the Monte Carlo percentiles in §3. Never read one clock as another.

Calibration tier. Backtest verdict for ADCB: PASS — under the fitted UAE market model, ADCB's own five-year backtest beats the naive benchmark with the margin holding across every resampling scheme. The §3 distribution is calibrated and carries a modest demonstrated edge — still read it as a base rate, not a promise.

Provenance flag. ADCB's own PDF filings were not machine-accessible during this work; financial-statement figures were taken from ADCB's results releases as reproduced word-for-word on financial news wires and on the bank's own news pages, and must be re-verified against the filed statements before any reliance. Figures we derived rather than took directly are flagged inline.

The company

Abu Dhabi Commercial Bank is the UAE's third-largest bank, with AED 809bn in assets at March 2026, formed in its current shape by the 2019 three-way merger of ADCB, Union National Bank and Al Hilal Bank. It makes money the way a classic universal bank does: it gathers AED 523bn of deposits (46.9% of them low-cost CASA), lends AED 426bn — roughly two-thirds of it in Abu Dhabi and Dubai — and earns the spread, layering fee income from cards, trade finance, capital markets and its growing international franchise (28% of loans, including a US\$3.5bn Türkiye sovereign bond mandate won this year) on top. Its moat is structural rather than clever: majority ownership by Mubadala (60.69%) anchors it in Abu Dhabi's government-related ecosystem, its funding base is granular and cheap, and its post-merger cost discipline shows in a cost-to-income ratio that fell to 25.6% in Q1-2026. Scale now compounds: nineteen consecutive quarters of rising profit before tax, an ROE above 16%, and a five-year plan targeting AED 20bn of annual net profit by 2030. A completed AED 6.1bn rights issue in December 2025 — the base-changer running through every per-share figure here — pre-funds that growth and lifts CET1 to 13.8%.

At a glance

	Value		Value
Spot (03-Jul-2026)	AED 15.10	Weighted central	AED 19.7 (+31%)
Shares out (post-rights)	7,912.2mn	Range across lenses	AED 14.3 – 23.3
Market cap	AED 119.5bn (~US\$32.5bn)	K_e (war-adjusted central)	10.57% (rf 4.70% + β 1.00 × ERP 4.87% + 1.0pt)
FY25 net profit	AED 11,445mn (+22%)	Trailing P/E • P/B	10.4x • 1.52x

Q1-26 RoAE / RoTE	16.3% / 18.1%	FY25 DPS · yield	AED 0.63 · 4.2%
CET1 / CAR (Mar-26)	13.82% / 16.95%	Backtest verdict	PASS (skill +0.023, 14 windows)
NPL / coverage	1.76% / 151.8%	MC T+60 median	AED 15.09 (-0.1%)

Sources: ADCB FY25 and Q1-2026 results releases and MD&A; Testahil model. Per-share figures on the post-rights 7,912.2mn count throughout.

Headline

Five independent lenses put fair value between AED 14.3 (a conservative through-cycle value) and AED 23.3 (an equity DCF that credits the strategy), with a weighted central of AED 19.7 — +31% above the 03-July close of AED 15.10, even after charging a full percentage point of war-risk premium to the cost of equity. The market is pricing ADCB at roughly 1.5× book and ~10× trailing earnings, a multiple set during a regional war and a rights-issue digestion, for a bank compounding profit at 20%+ with a 16% ROE and a 4%+ dividend yield. The gap has one honest counter-argument — that the relative lens (AED 15.9) says the whole UAE bank complex is priced this way, so ADCB is cheap only if the sector re-rates or the strategy delivers. That tension is the study's crux (\$1.8).

Valuation summary

The whole answer in one view. Five independent methods value ADCB; the table below shows what each is worth, the weighted central that combines them, and how that sits against today's price and against the two longer-dated reference points.

The bottom line	
Fair-value range across the five lenses	AED 14.3 – 23.3
Weighted central (risk-adjusted, ~12-month anchor)	AED 19.7
Current price (03-Jul-2026 close)	AED 15.10
Implied gap to central	+31%
Upper reference — strategy delivered, peace-time cost of equity	AED 23.0
Lower reference — conservative through-cycle value	AED 14.3
Three-month view — probability price is above today's	50%
Three-month view — median outcome	AED 15.09 (-0.1%)

Lens	Value (AED)	What it prices
Equity DCF (FCFE)	23.3	Cash the bank could distribute after funding its own growth
Residual income	22.7	Today's book value plus the value of returns above the cost of equity
Dividend discount model	21.2	The board's explicit, progressive dividend policy
Relative multiples	15.9	What comparable UAE banks trade at right now
Normalized value (through-cycle)	14.3	Mid-cycle earnings valued at the multiple their return on equity warrants

The two cash-flow methods and residual income cluster at AED 21–23; the market-anchored lens says AED 15.9, essentially today's price. The weighted central of AED 19.7 sits between them and leans toward delivery — it is a probability-weighted judgement that the strategy-and-de-escalation outcome is more likely than the priced-in one, not a claim that the answer lies neatly in the middle. The three-month figures are a separate matter entirely and

come only from the distribution in §3; they describe near-term noise around the current price, not this fair-value anchor. The remainder of this section builds each lens in full.

1. Valuation

1.1 Dividend discount model — the primary lens

For a bank, deposits are an operating input, not a financing choice, so enterprise-value arithmetic is meaningless: everything discounts at the cost of equity. The DDM is primary because ADCB's board has made distribution policy explicit — a progressive dividend, c.AED 25bn cumulative over the five-year plan — and because dividends are the one cash flow a minority shareholder actually receives. The schedule below runs the driver build of §1.6: payout glides from 38% to 33% as growth consumes capital, yet DPS still rises every year because earnings rise faster.

AED / share	FY26E	FY27E	FY28E	FY29E	FY30E
EPS	1.74	1.89	2.12	2.37	2.61
Payout	38%	37%	36%	34%	33%
DPS	0.66	0.70	0.76	0.80	0.86
Discount factor @ Ke 10.57%	0.904	0.818	0.740	0.669	0.605
PV of dividend	0.60	0.57	0.56	0.54	0.52

Terminal block	Value
Terminal payout = $1 - g/\text{ROE}_t = 1 - 4.0/15.0$	73%
Terminal DPS (FY31)	AED 1.99
Terminal value at $(K_e - g)$	AED 30.3
PV of terminal value	AED 18.4
Σ PV explicit dividends (FY26–30)	AED 2.8
DDM fair value	AED 21.2
Terminal value as % of total (dependency disclosure)	87%

Terminal-value dependency: 87% of the DDM sits in the terminal block — normal for a growing bank at a 38%→33% payout, but it means the number is a claim about ADCB's steady state (15% ROE, 4% growth), not about the next five dividends. §1.10 sensitizes exactly that claim.

1.2 Equity DCF (FCFE) — the full build, from revenue to cash

The equity DCF asks not what the board chooses to pay, but what the business could pay after funding its own growth. It is built from the top line down. For a bank the top line — total revenue — is operating income: net interest income (the spread earned on loans funded by deposits) plus non-interest income (fees, cards, trade, treasury). From there the waterfall runs through costs, loan-loss provisions and tax to net profit, and then subtracts the one item a bank cannot avoid: the fresh equity it must retain each year to keep its capital ratio intact as its balance sheet grows. What remains is free cash flow to equity — genuinely distributable, whether or not it is actually paid out. Every line below is driven off the build in §1.6.

AED mn	FY26E	FY27E	FY28E	FY29E	FY30E
Net interest income	16,132	18,047	20,199	22,308	24,409
Non-interest income	8,319	9,068	9,884	10,774	11,744
Operating income (total revenue)	24,452	27,115	30,084	33,081	36,153

Operating expenses	-6,602	-7,050	-7,671	-8,270	-8,857
Pre-provision operating profit	17,850	20,065	22,412	24,811	27,295
Impairment charge	-2,411	-2,496	-2,658	-2,789	-2,960
Profit before tax	15,438	17,570	19,754	22,022	24,336
Tax	-1,698	-2,635	-2,963	-3,303	-3,650
Net profit after tax	13,740	14,934	16,791	18,719	20,685
less: equity retained for RWA growth	-7,740	-7,198	-6,610	-6,215	-5,262
Free cash flow to equity (FCFE)	6,000	7,736	10,181	12,504	15,423
Discount factor at Ke 10.57%	0.904	0.818	0.740	0.669	0.605
PV of FCFE	5,426	6,328	7,531	8,366	9,332

Terminal value & bridge to per-share	AED mn
Sum of PV of explicit FCFE (FY26-30)	36,983
Terminal FCFE (FY31) = FY30 FCFE × (1 + g)	16,040
Terminal value = terminal FCFE ÷ (Ke - g)	244,142
PV of terminal value	147,726
Equity value = Σ PV explicit + PV terminal	184,709
÷ shares outstanding (mn)	7,912
FCFE value per share	AED 23.3
Memo: terminal value as % of equity value	80%

The equity DCF lands at AED 23.3 — above the dividend model — for a specific reason: in FY26–27 the bank retains more capital than its declared dividend requires, because the December rights issue left it with surplus buffer. That surplus is distributable value the dividend model only collects years later in its terminal payout, whereas the equity DCF counts it as it is generated. The terminal block is 80% of the total, so this number is as much a claim about ADCB's steady state (a mid-teens return on equity growing at 4%) as about the next five years — which is exactly what the sensitivity grid in §1.10 stresses.

1.3 Residual income — book value plus the value of excess returns

Residual income starts from what shareholders already own (common book value, AED 78.5bn at Dec-2025, post-rights, after deducting an estimated AED 6.0bn of Tier-1 capital notes — a split we derived rather than one the bank disclosed, and flagged as such) and adds only the present value of returns above the cost of equity. It is the lens least dependent on terminal assumptions and the natural cross-check on both DCFs.

AED mn	FY26E	FY27E	FY28E	FY29E	FY30E
Opening common equity	78,500	87,019	96,427	107,174	119,528
Equity charge (Ke × opening)	-8,297	-9,198	-10,192	-11,328	-12,634
Net profit	13,740	14,934	16,791	18,719	20,685
Residual income	5,443	5,736	6,599	7,391	8,051

Book AED 78.5bn + PV of explicit RI AED 24.3bn + PV of terminal RI AED 77.1bn = AED 179.9bn, or AED 22.7 per share — an implied 2.29× on current common book. Because ADCB earns ~15–16% against a ~10.6% Ke, more than half the RI value is already on the balance sheet today; the lens lands near the FCFE precisely because both are counting the same excess-return engine two different ways.

1.4 Relative multiples — what the sector will pay today

The disciplining lens. UAE large-cap banks trade around 1.55× book and ~9.5× forward earnings after the war-year de-rating. Applying those sector marks to ADCB's own post-rights book ($1.55 \times \text{BVPS } 9.92 = \text{AED } 15.4$) and FY26E EPS ($9.5 \times 1.74 = \text{AED } 16.5$) blends to AED 15.9 — essentially the current price. The message is clean: ADCB is not mispriced against its peers; the entire complex is priced for a 10.5%+ cost of equity and no strategy delivery. The relative lens can only converge on the DCF family if the sector re-rates (de-escalation, rate cuts) or ADCB's ROE visibly decouples.

1.5 Normalized-earnings value — the conservative, through-cycle case

This lens sets aside the current profitability surge and asks what ADCB is worth on mid-cycle earnings — but, crucially, values those earnings at the multiple they actually warrant rather than an arbitrarily low one. Through-cycle return on equity of 13.5% (the FY22–24 average, below the 15–16% run-rate) on post-rights book gives normalized earnings per share of AED 1.34. A bank that sustainably earns 13.5% and grows at 4% is worth a price-to-book of $(13.5 - 4) \div (10.57 - 4) = 1.45\times$, which on book value per share of AED 9.92 is AED 14.3 — an implied 10.7× on those normalized earnings, and about 5% below today's price. Valuing the earnings at the price-to-book their return justifies keeps this lens internally consistent with the others, which all discount at the same cost of equity. The reading is deliberately sober: even cutting the current run-rate back to mid-cycle and pricing it fairly, ADCB is close to fairly valued — so the upside to the cash-flow lenses rests specifically on the run-rate return on equity holding above the through-cycle 13.5%, not on any multiple re-rating. This value sits around the lower quartile of the three-month distribution in \$3 (25th percentile AED 13.95), a reminder that the conservative case is a modestly-lower fair value, not a crash.

1.6 The driver build — how each assumption was set, then the machinery

Every forecast driver below is tagged by how it was derived. Where the bank discloses the underlying components, the driver is built up from them; where it does not, the driver is set top-down from the outcomes the bank does report and the guidance it has given. All eight of ADCB's drivers are top-down, because the bank reports blended results — net interest margin, cost-to-income, cost of risk — rather than the deposit-repricing betas, fee volumes or product unit-economics a bottom-up build would need. Each row names the evidence it rests on; the full source list is in Appendix B.

Driver	How derived	Justification and supporting evidence
Loan growth (FY26-30 glide 16%->8%)	Top-down	no unit-level pipeline disclosure; anchored to Q1'26 +18% YoY momentum, guidance 'above 16%', CBUAE 2026 macro cut (evidence: F05,F08,F13,F21)
NIM path (2.30 trough 2.26 -> 2.32)	Top-down	rate-path-driven NIM bridge off disclosed quarterly NIM/asset-yield/CoF and Fed/CBUAE path; per-book repricing betas undisclosed (evidence: F01,F09,F22)
Non-interest income (+11% then +9%/yr)	Top-down	fee/trading split disclosed quarterly (Q1'26: fees 938, trading 959, other 299) but no volume drivers; war-vol trading gain haircut applied (evidence: F14,F19,F23)
Cost-to-income (27.0% -> 24.5%)	Top-down	management AI-efficiency program direction disclosed, unit economics not; glide inside record 25.6% Q1 print (evidence: F11,F13,F24)
Cost of risk (55bp -> 45bp)	Top-down	guide <60bp; Q1'26 41bp incl 596mn overlays; NPL 1.76% coverage 152%; war-risk

		premium retained FY26 (evidence: F02,F13,F18,F21)
Tax rate (11% -> 15%)	Top-down	DMTT 15% statutory with IAE initial-phase 9% currently applied (note 3, Q1'26 FS); lapse timing undisclosed -> conservative step-up, sensitized (evidence: F06,F25)
Dividend payout (38% -> 33%)	Top-down	c.AED 25bn 5yr distribution guide + 'progressive' language + CET1>12% floor; capital equation binds (see FCFE leg) (evidence: F13,F16,F27)
RWA path & CET1 glide (13.8% -> 12.75%)	Top-down	RWA level not disclosed in captured releases -> derived from CET1 ratio (FLAGGED, ledger row); density and glide sensitized (evidence: F19,F16,F26)

The build itself (fully live in the companion Excel's Driver Build sheet):

- **NIM path** — anchors on Q1-26 exit NIM of 2.32% and CBUAE's two anticipated 2026 cuts (management's own rate call): 2.30% FY26, trough 2.26% FY27, then a slow recovery to 2.32% as deposits reprice down and CASA (46.9%) cushions the fall;
- **Loan growth** — 16% in FY26 (management: "above 16%"), fading to 8% by FY30 as the base compounds; average interest-earning assets held at 1.60x net loans (Dec-25 ratio);
- **Cost-to-income** — 27.0% → 24.5% — slower than the Q1-26 print suggests, deliberately conservative on AI-led saves that gate top-down (n4);
- **Cost of risk** — 55bp FY26 (Q1 ran 41bp plus AED 596mn of geopolitical overlays — the war is provisioned, not just priced), gliding to 45bp; NPL 1.76% with 151.8% coverage gives room;
- **Tax** — 9% while the Initial-Phase International Activity Exclusion holds, stepping to 15% DMTT from FY27 — the lapse date is undisclosed (n5), so the step is placed early and \$1.10 sensitizes it;
- **Capital** — RWA growing ~1-2pt below loans (mix drift), CET1 gliding 13.6% → 12.75% against the >12% floor; payout 38% → 33%. This is the machinery that decides how much profit is distributable versus retained.

Driver Build (AED mn)	FY26E	FY27E	FY28E	FY29E	FY30E
Net loans	470,922	527,432	580,176	632,391	682,983
Net interest income	16,132	18,047	20,199	22,308	24,409
Non-interest income	8,319	9,068	9,884	10,774	11,744
Operating income	24,452	27,115	30,084	33,081	36,153
Operating expenses	-6,602	-7,050	-7,671	-8,270	-8,857
Impairment charge	-2,411	-2,496	-2,658	-2,789	-2,960
Profit before tax	15,438	17,570	19,754	22,022	24,336
Net profit after tax	13,740	14,934	16,791	18,719	20,685
ROE %	16.6%	16.3%	16.5%	16.5%	16.4%

Fig. 6-8 below chart the same build: the income stack and NIM path, the profit trajectory against the AED 20bn 2030 target, and the CET1 walk.

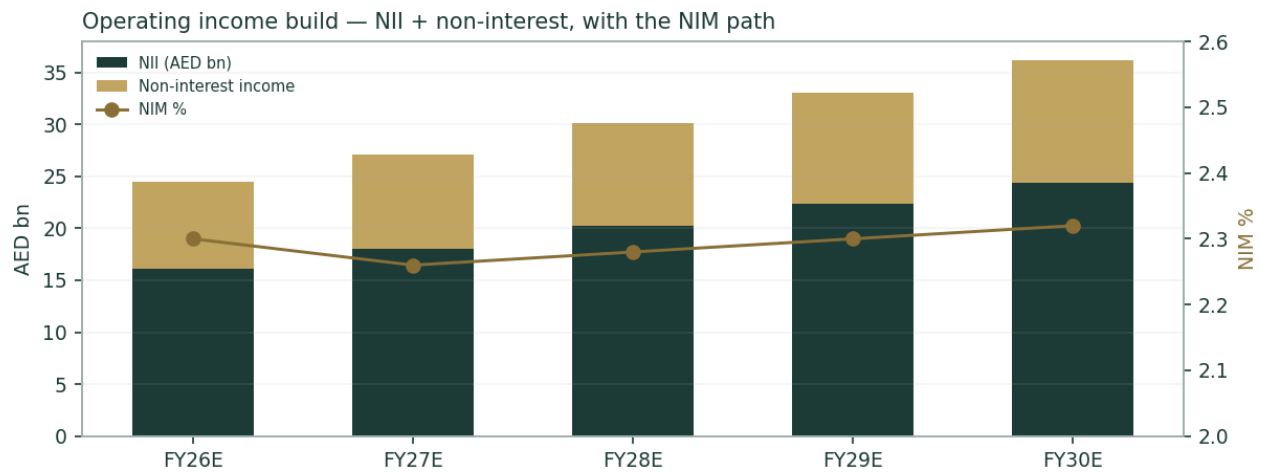


Figure 6 — Operating income build: NII plus non-interest income, with the NIM path (right axis). The FY27 NIM trough is the single most consequential assumption in the model.

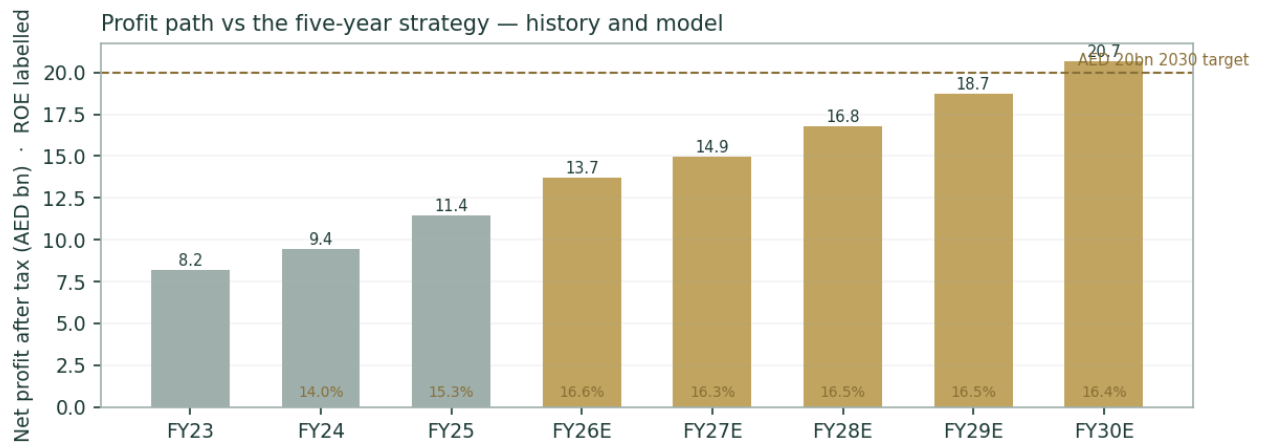


Figure 7 — Net profit, history and model, against the strategy's AED 20bn 2030 target. The model lands at AED 20.7bn without ever assuming the verbatim "c.20%/yr" — compounding does the work.

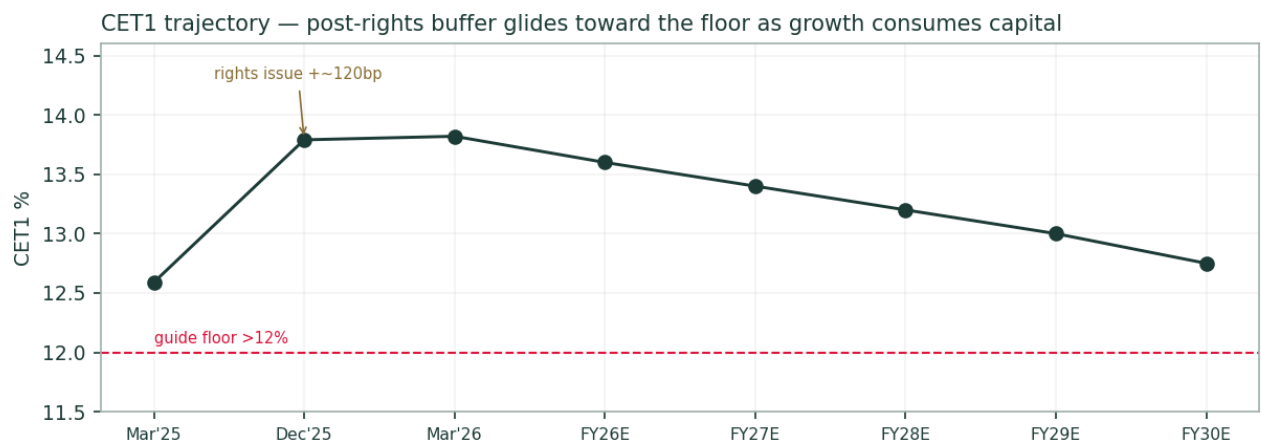


Figure 8 — CET1 walk: the rights issue buys ~120bp of buffer; growth then consumes it toward the >12% floor. This glide is what makes 16% growth, a rising dividend and the capital floor simultaneously affordable — barely.

1.7 Synthesis — weights and the football field

Weights reflect how much each lens can be trusted for a bank of this kind: the dividend model leads because ADCB's distribution policy is explicit and board-committed; residual income and the equity DCF share the fundamental weight

because they value the same excess-return engine two ways; the relative lens earns real weight because it is the only one anchored to prices the market is setting today; and the normalized through-cycle value keeps the whole set honest against a cyclical-earnings reading.

Lens	Value (AED)	Weight	Contribution
DDM (primary)	21.2	30%	6.36
Residual income	22.7	20%	4.54
FCFE (equity DCF)	23.3	15%	3.50
Relative multiples	15.9	20%	3.18
Normalized value (through-cycle)	14.3	15%	2.15
Weighted central			19.7

The DCF family (21–23) and the market family (11–16) do not overlap — so they are not blended into a single point estimate dressed up as precision. The weighted central of AED 19.7 is a probability-weighted statement across regimes: it says the strategy-delivery world is more likely than the priced-in world, not that the truth lies politely in between.

Five lenses vs spot — football field (AED/share, war-adjusted Ke 10.6%)



Figure 9 — Five lenses versus spot. The gold span marks the full lens range; the dashed line is the weighted central (AED 19.7); spot in red. The relative lens sitting on top of spot is the market saying "prove it."

1.8 The crux — the capital equation cannot maximize everything

Every bank study has one load-bearing tension. ADCB's is arithmetic: management has promised, simultaneously, loan growth "above 16%", CET1 "above 12%", and "c.AED 25bn" of dividends over five years — on top of a war it does not control. Retained earnings must fund RWA growth; the same dirham cannot also be a dividend; the rights issue bought slack, not immunity. In real units:

- 16% loan growth in FY26 alone adds ~AED 65bn of loans and ~AED 60bn of RWA, consuming ~AED 8bn of CET1 at the 13.6% target — versus ~AED 12.9bn of profit. Distribution capacity in the high-growth years is real but thin: the model's FY26 FCFE is AED 6.0bn against a declared dividend of ~AED 5.2bn.
- If growth runs at the top of guidance for longer, either the payout glide steepens (DDM value falls toward AED 19) or CET1 approaches the floor faster (FCFE value falls); if growth disappoints, dividends are safer but the AED 20bn target slips past 2030. The promises are jointly affordable only on the narrow path \$1.6 draws — which is exactly why the model draws it.
- The war premium is the second crux: strip the 1.0pt conflict adder and the central rises to AED 23.0; harden it to 2.5pt (renewed Hormuz closure) and the central falls to ~AED 16.3. About AED 3 of value per share — a fifth of the price — is a pure geopolitics bet neither management nor this model controls.

1.9 Macro & regime

The operating backdrop is a peculiar mix of strong micro and bruised macro. The UAE grew 6.2% in 2025; the central bank now forecasts 1.7% for 2026 — the war's bill. Oil traded to war highs and back; the Strait of Hormuz was effectively closed for parts of March–May (the largest supply disruption on record) before the April ceasefire; Jebel Ali took physical debris. Yet system credit demand stayed robust, UAE bank assets reached AED 4.97tn by mid-2025, and ADCB itself booked the disruption as AED 596mn of precautionary overlays rather than actual losses. The rate cycle matters more for the model: the CBUAE base rate (3.65%, pegged to the Fed corridor) is expected by ADCB's own management to fall twice in 2026 — the source of the FY27 NIM trough. S&P's upgrade of ADCB to A+ (2025) and the Aa2 sovereign keep funding costs anchored; the constructed AED 10-year risk-free of 4.70% (UST 4.58% + ~12bp AED T-bond spread, from the Ministry of Finance's May-2026 auctions) is itself an estimate, flagged as such, until a longer AED government curve is available.

1.10 Sensitivity — Ke × terminal growth, and the crux in real units

Weighted central (AED)	g 3.0%	g 3.5%	g 4.0%	g 4.5%
Ke 9.6%	21.2	22.0	22.9	24.0
Ke 10.1%	19.8	20.4	21.2	22.0
Ke 10.6%	18.6	19.1	19.7	20.3
Ke 11.1%	17.5	17.9	18.4	18.9
Ke 11.6%	16.5	16.9	17.3	17.7
Ke 12.1%	15.7	16.0	16.3	16.6

DDM alone (AED)	g 3.0%	g 3.5%	g 4.0%	g 4.5%
Ke 9.6%	23.5	24.4	25.4	26.6
Ke 10.1%	21.6	22.3	23.0	23.9
Ke 10.6%	19.9	20.4	21.0	21.7
Ke 11.1%	18.5	18.9	19.3	19.9
Ke 11.6%	17.2	17.5	17.9	18.3
Ke 12.1%	16.1	16.3	16.6	16.9

Crux swing (real units)	Effect on central
NIM ±10bp across the path (≈ AED 0.9bn NPAT/yr by FY28)	≈ ±AED 1.0/share
Cost of risk ±10bp (≈ AED 0.55bn pre-tax/yr mid-path)	≈ ∓AED 0.5/share
Tax: IAE 9% persists through FY28 (vs 15% step in FY27)	+AED 1.3–1.5/share
Conflict adder 0pt ↔ 2.5pt on Ke	AED 23.0 ↔ ~AED 16.3
Loan growth –4pt across the path	≈ –AED 1.5/share (NII/FCFE, partly offset by lower retention)

Both ERP bases are carried: rating-based Ke 9.57% and CDS-based 9.63% pre-adder; the published central uses the rating basis + 1.0pt conflict adder = 10.57%. The full grids are live in the companion Excel.

2. Technical & positioning read



Figure 1 — Five years of ADCB: the 2024–25 re-rating, the rights-issue digestion, the FY25-results all-time high (AED 16.54), the war drawdown to ~12, and the recovery — including the +4.3% de-escalation session of 03-July that set the study's spot.

Price sits above every major moving average (MA20 14.40, MA50 13.90, MA100 13.92, MA200 14.26) — a fully repaired trend just 9% below the all-time high. RSI-14 at 65 is warm but not stretched; MACD (12,26,9) reads 0.287 / 0.304 / -0.018 — the line is above zero (bullish regime) with the histogram marginally negative, i.e. momentum is pausing after the July pop rather than reversing. The 52-week range is 11.98–16.42; YTD +5.6%, one-year +12.0%. Positioning context: the December rights added 592mn shares at AED 10.30 — everyone who took up rights is sitting on ~+47%, and the stock reclaimed the pre-war shelf in seven weeks. The technical read and the \$1 value gap point the same way, which is precisely when the discipline of \$3 matters most.

Indicator	Level	Read
MA20 / MA50 / MA200	14.40 / 13.90 / 14.26	Price above all; MA50 curling up through MA200
RSI-14	65	Warm; room before the 70 line
MACD 12 26 9	0.287 / 0.304 / -0.018	Positive regime, momentum pausing
52-week range	11.98 – 16.42	Spot 70% up the range
All-time high	16.54 (2026-01-29)	-8.7% below

3. Monte Carlo — the 3-month distribution

The probability read comes first; the machinery follows. These five rows are the only genuinely 3-month statements in this study.

Probability read (T+60 trading days ≈ 3 months)	
P(price above spot AED 15.10)	50%
P(+10% or better) vs P(-10% or worse)	21% vs 19% (odds 1.10×)
Median path	AED 15.09 (-0.1%)
Central 50% of outcomes (25th–75th)	AED 13.95 – 16.32
Touch probability: ±10% at any point within the horizon	38% up · 34% down

Lens independence note: the Monte Carlo drift never sees \$1. Its anchor is pure carry — $\ln(1+rf\ 3.65\%) - \ln(1+\text{dividend yield } 4.17\%) \approx -0.12\%$ over 60 days. For this dividend-payer, carry is a hair negative in price terms: the

expected total return $\approx$ the risk-free rate, delivered as dividend rather than drift. The \$1 value gap lives in \$1 only; if it closes, it closes as a surprise to this distribution, not inside it.

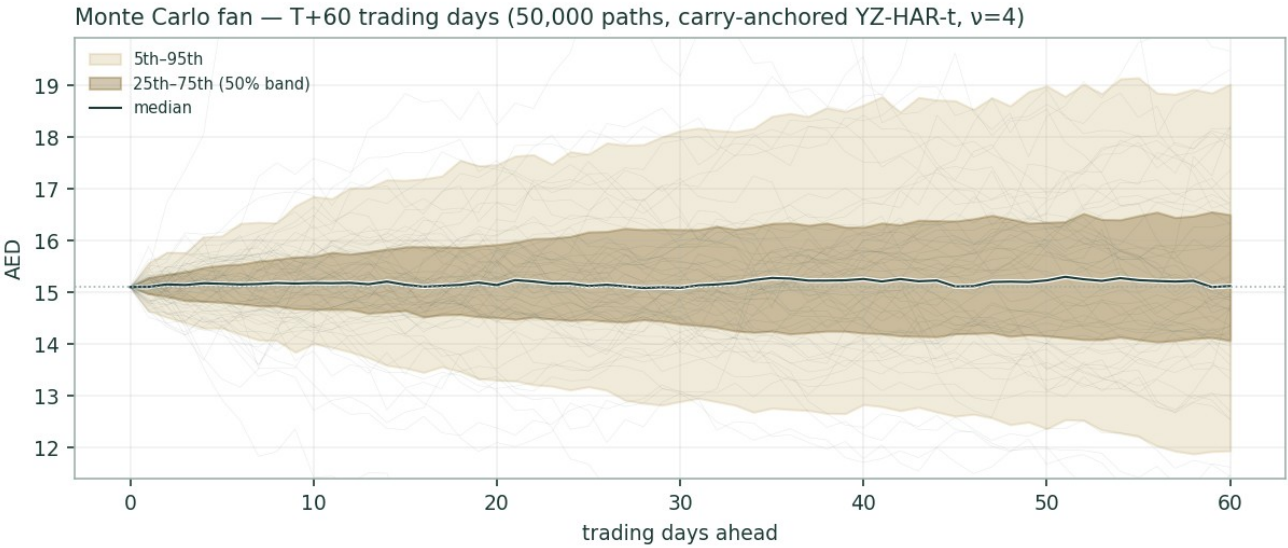


Figure 2 — T+60 fan: 50,000 simulated price paths. Gold band spans the 5th to 95th percentile, brass the 25th to 75th, the white line the median.

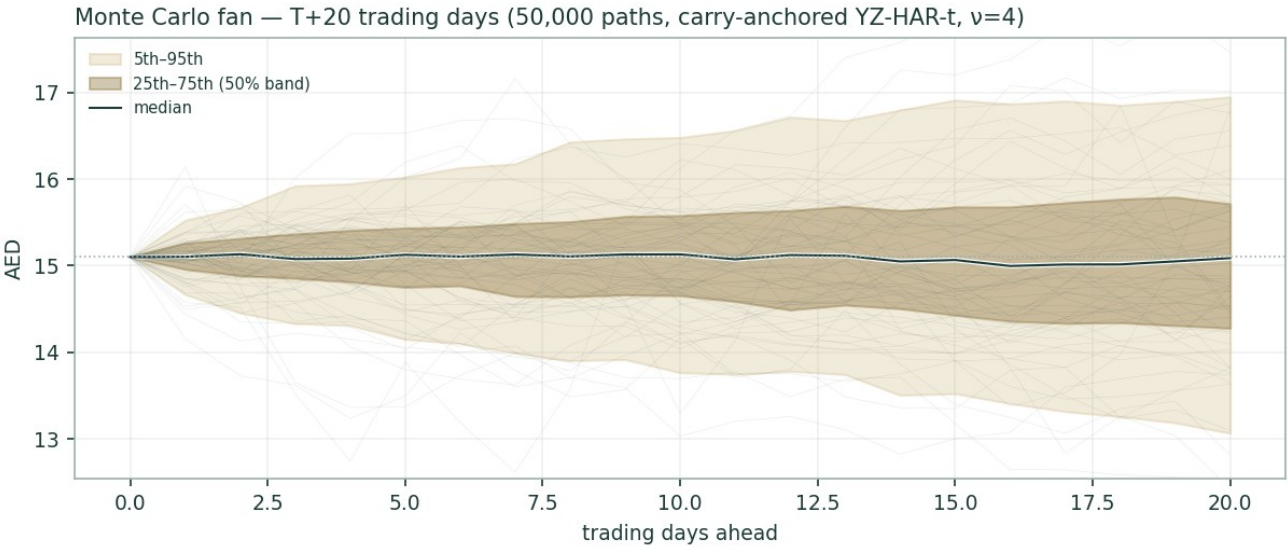


Figure 3 — T+20 fan ($\approx$ one month): the near-term cohort the Calibration Ledger will grade first, on 05-Aug-2026.

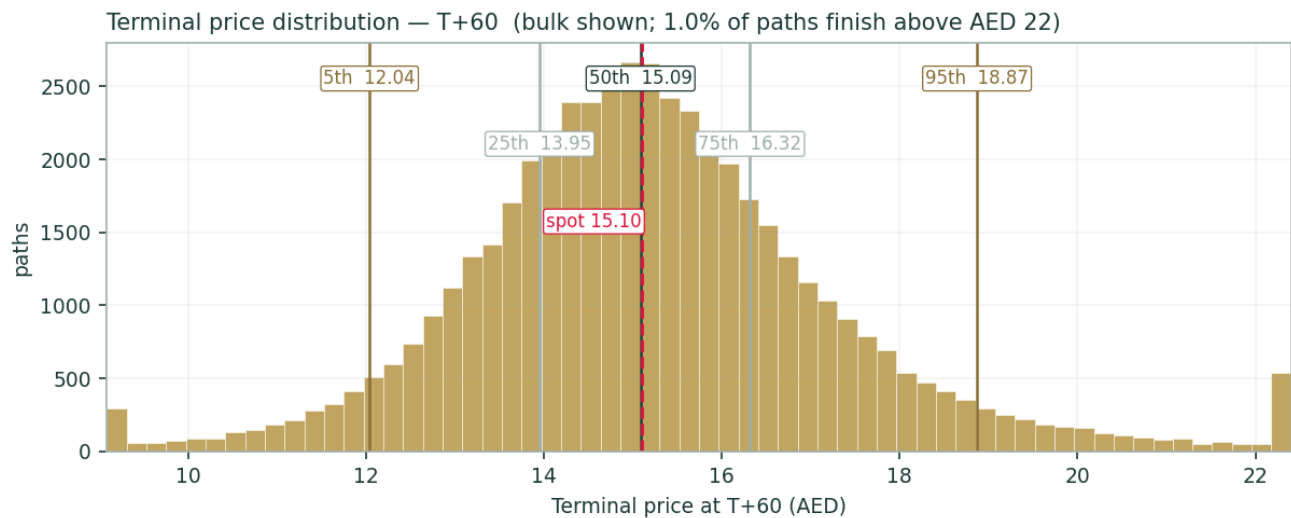


Figure 4 — Terminal T+60 price distribution with percentile markers; spot dashed red. The right tail is fatter than the left in AED terms — the arithmetic of lognormality, not a view.

Percentile	T+20 (AED)	T+60 (AED)
5th	13.28	12.04
25th	14.43	13.95
50th	15.09	15.09
75th	15.79	16.32
95th	17.20	18.87

3.1 Engine & calibration — the backtest in the open

The engine models daily volatility with a gap-aware Yang-Zhang estimator and a heterogeneous-autoregressive forecast, draws shocks from a fat-tailed Student-t distribution to respect crash risk, and centres the paths on carry alone — no momentum or trend signal is used, because none tested reliably for this market. The tail heaviness and cone width are fitted to a panel of nine UAE names (this bank together with its ADX and DFM peers), so the calibration reflects the market as a whole rather than any single stock; interestingly the UAE panel is genuinely fat-tailed, unlike its thinner-tailed Gulf neighbours. The history used starts in January 2022, after the UAE moved its trading week to Monday–Friday, so the volatility estimate rests on a consistent calendar.

Five-year backtest — walk-forward, 60-day horizon, non-overlapping	
Windows	14 (post-2022 break)
CRPS skill vs zero-drift random walk	+0.0232
Pinball-0.50 skill / Winkler-90 skill	+0.0019 / +0.0780
Coverage 50 / 80 / 90	0.64 / 0.86 / 0.86
PIT mean	0.54
Bootstrap CI, block 2 / 3 / 4	[0.004, 0.035] · [0.002, 0.04] · [0.003, 0.032]
Robust verdict (all blocks agree)	PASS

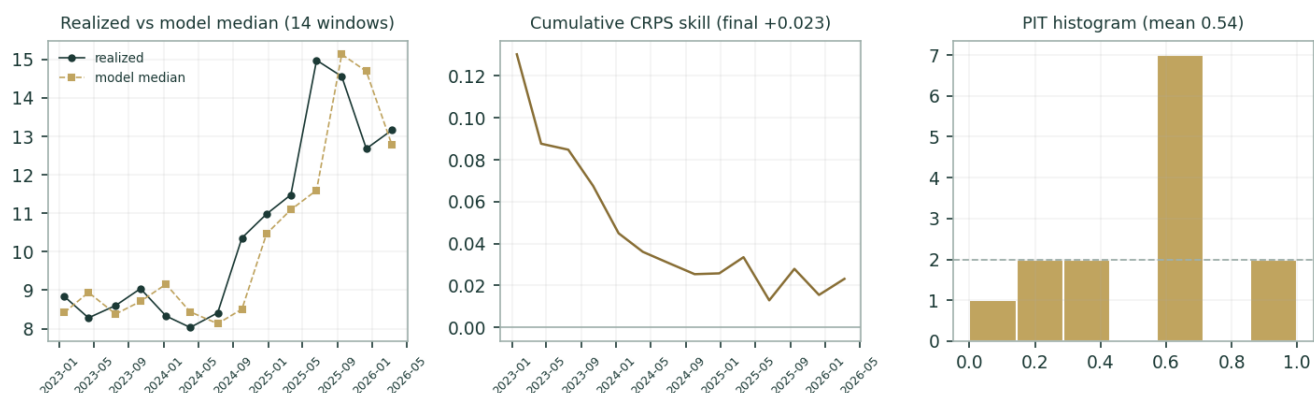


Figure 5 — Calibration three-panel: realized vs model median per window; cumulative CRPS skill; PIT histogram. The two 90%-band misses are the Oct-24 (+23%) and Jun-25 (+30%) rallies — the model under-called upside, never downside.

A PASS means two things at once: the distribution is honest (coverage near nominal, PIT centred) AND it beats the naive benchmark, with the CRPS-skill margin (+0.023) staying above zero across every block-resampling scheme tested — a demonstrated, if modest, edge on this name rather than mere calibration. The published T+20/T+60 cohorts (grading 05-Aug and 02-Oct-2026) now carry that record into live, out-of-sample territory, where it can be confirmed or corrected.

4. What would change our mind

- **Falsifier 1** — Q2-2026 results (due 16-July — six days after this study) printing NIM below 2.25% or CoR above 70bp: the FY27 trough assumption is too kind; central falls ~AED 1-1.5.
- **Falsifier 2** — CET1 printing below 13.3% by year-end without a corresponding RWA surge: the dividend-growth-capital triangle is tighter than modeled; the payout glide steepens.
- **Falsifier 3** — The IAE tax exclusion formally lapsing for FY26: -AED 0.5-0.7 versus the base path (the model already steps to 15% in FY27).
- **Falsifier 4** — Renewed Hormuz closure or direct UAE escalation: the 1.0pt adder is a ceasefire-holding assumption; the sensitivity row (\$1.10) is the honest map, not a tail footnote.
- **Falsifier 5** — Sector P/B re-rating above ~1.8× while ADCB merely tracks: the relative lens converges upward on the DCFs and the thesis resolves without ADCB doing anything — the pleasant failure mode.

5. How to use this study

Read the central as a probability-weighted anchor, not a target. If you need a 3-month view, use §3 and nothing else. If you disagree with an input, the companion Excel reprices the whole study from one blue cell — that is the point of it. Grade us: every forecast in this document is on the public Calibration Ledger with a maturity date, and the graded record — not the prose — is the product.

6. Coverage & ledger integration

ADCB joins Testahil's UAE coverage alongside its ADX and DFM peers. Two forecast cohorts are registered today — one maturing 05 August 2026, one 02 October 2026 — each recorded with its full set of percentiles so it can be graded after the fact. When a cohort matures it is scored against the same naive benchmark used in the backtest, its result is added to the UAE sample the market calibration is estimated on, and a fresh forecast is issued in its place. The graded record, published openly, is the point of the exercise.

7. The one-paragraph version

ADCB is a 16%-ROE bank compounding profit at 20%+, pre-funded by a rights issue, guided by an explicit five-year plan, priced at ~1.5× book and ~9× forward earnings because it lives in a war zone and just asked shareholders for

AED 6.1bn. Five lenses say AED 14.3–23.3 with a weighted central of AED 19.7 (+31%); the honest counter is that the whole UAE sector is priced this way and ADCB must out-deliver it. The 3-month distribution is essentially balanced (P(above spot) 50%, median -0.1%); the value gap, if it closes, closes on delivery and de-escalation — the two things the next four quarters will grade.

Appendix A — Financials (3-year history + 5-year model)

AED mn unless noted. History from ADCB's results releases; FY24 opex/impairment and FY23 balance-sheet lines derived to disclosed totals (flagged); forecast lines follow the driver build in §1.6. FY23 is shown both ways — as reported (including the AED 490mn gain on the 80% sale of ADCP, and before UAE corporate tax) and excluding that one-off — so the underlying trend is not distorted by a single transaction.

Income statement	FY23	FY24	FY25	FY26E	FY27E	FY28E	FY29E	FY30E
Net interest income	12,370	13,232	14,688	16,132	18,047	20,199	22,308	24,409
Non-interest income	4,490	6,227	7,495	8,319	9,068	9,884	10,774	11,744
Operating income	16,860	19,459	22,183	24,452	27,115	30,084	33,081	36,153
Operating expenses	-5,176	-6,032	-6,256	-6,602	-7,050	-7,671	-8,270	-8,857
Impairment charge	-3,477	-2,842	-3,084	-2,411	-2,496	-2,658	-2,789	-2,960
Profit before tax	8,207	10,585	12,843	15,438	17,570	19,754	22,022	24,336
Tax	0	-1,166	-1,398	-1,698	-2,635	-2,963	-3,303	-3,650
Net profit after tax	8,207	9,419	11,445	13,740	14,934	16,791	18,719	20,685
EPS (AED)	1.12	1.29	1.45	1.74	1.89	2.12	2.37	2.61
DPS (AED)	0.56	0.59	0.63	0.66	0.70	0.76	0.80	0.86

FY23 as reported AED 8,207mn (pre-CIT); ex the ADCP gain AED 7,717mn. FY23/24 EPS on the pre-rights 7,319.9mn count; FY26E onward on 7,912.2mn.

Balance sheet & capital	FY23	FY24	FY25	FY26E	FY27E	FY28E	FY29E	FY30E
Total assets	567,000	650,130	773,654	896,994	1,004,633	1,105,096	1,204,555	1,300,919
Net loans	301,700	349,972	405,967	470,922	527,432	580,176	632,391	682,983
Customer deposits	363,000	421,000	499,775	579,953	649,547	714,502	778,807	841,112
Common equity (close)	—	—	78,500	87,019	96,427	107,174	119,528	133,387
CET1 %	12.9	12.6	13.79	13.60	13.40	13.20	13.00	12.75
NIM %	2.83	2.58	2.45	2.30	2.26	2.28	2.30	2.32
Cost-to-income %	30.7	31.0	28.2	27.0	26.0	25.5	25.0	24.5
NPL %	3.73	3.04	1.83	—	—	—	—	—

FY23 total assets and FY24 deposits derived from disclosed YoY growth; FY26E+ assets/deposits held at the Dec-25 loans-mix (52.5%) and LDR (81.2%) — presentation scaffolding, not drivers. Q1-2026 anchors: assets 808,857 · loans 425,720 · deposits 523,095 · CET1 13.82% · LCR 124.2%.

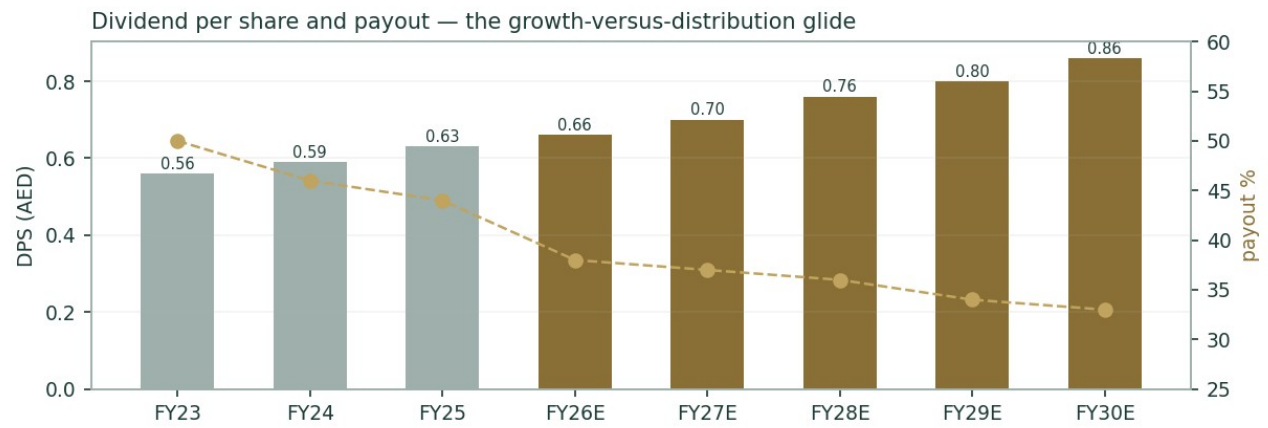


Figure 10 — DPS and payout: the distribution glide that reconciles a rising dividend with 13%+ RWA growth. Cumulative FY26–30 model dividends ≈ AED 24bn against guidance of "c.AED 25bn" — stated both ways: the guide is a round gross number; the model is the net arithmetic of the payout path.

Appendix B — Peers, sector, risks, and the research register

B.1 Peer set

Bank	Latest sourced print	Read vs ADCB
First Abu Dhabi Bank	Q1-26 net income AED 4.75bn, EPS 0.43 (beat)	Sector ceiling; ADCB narrows the ROE gap
Emirates NBD	Not re-sourced this session (DFM)	Dubai flagship; refresh at publish
Dubai Islamic Bank	Not re-sourced this session	Largest Islamic peer
Abu Dhabi Islamic Bank	FY24 NPAT AED 6.1bn (+16%); DPS 0.83	Premium-ROE Islamic AD peer
ADCB (this study)	Q1-26 NPAT AED 3.361bn; RoAE 16.3%	19 consecutive quarters of PBT growth

Sector: UAE bank assets AED 4.97tn (Jun-25); credit demand robust through the war; deposit competition keeps CASA valuable as rates fall. The 1.55× sector P/B input is the large-cap band mark used in \$1.4.

B.2 Risk table

Risk	Channel	Model treatment
Regional conflict re-escalation	Ke, CoR overlays, sentiment	1.0pt Ke adder; \$1.10 maps 0 ↔ 2.5pt; AED 596mn overlays already booked
Rate cuts deeper than two	NIM compression	FY27 trough 2.26%; ±10bp = ±AED 1.0/sh
DMTT/IAE tax step	Net profit −6–7%	Stepped to 15% in FY27; upside if 9% persists
Capital triangle (growth-CET1-dividends)	Payout or growth gives	Explicit CET1 glide; crux \$1.8
Credit cycle turn	CoR, NPL	CoR 55→45bp vs Q1 print 41bp; coverage 151.8% buffer
Concentration: Abu Dhabi GREs	Single-obligor / sovereign nexus	Qualitative; Mubadala anchor cuts both ways
Execution on AED 20bn plan	Multiple de-rating on a miss	Model lands 20.7bn on drivers, never assumes the slogan

B.3 Research register — what was checked before the forecast was set

This table is a transparency device. Before setting a single forecast assumption, we work outward from the world to the company — the global rate and oil backdrop, the UAE macro and regulatory picture, the competitive landscape, and finally ADCB's own disclosures — and record what we found. Crucially, it also records the searches that came back empty: a line marked as a negative finding means we looked for something (a hidden one-off, a tax-rule change, an undisclosed capital action) and confirmed it was not there. The purpose is to let a reader audit the inputs, not just the outputs: you can see the full set of factors considered, judge whether anything material was missed, and see exactly which public source each fact came from. One caveat carries through every row: ADCB's own PDF filings were not machine-accessible during this work, so company figures were taken from ADCB's results releases as reproduced word-for-word on financial news wires, and should be checked against the filed statements before being relied upon.

#	Area checked	Type	What we found (with date and source)
F01	Global — rate cycle & USD/FX regime	Structural	Fed 3.50-3.75% held Jan/Mar/Jun-2026; CBUAE Base Rate 3.65% via AED-USD peg; market prices further cuts; three benchmark cuts since Sep-2025 already in NIM — CBUAE press release 18-Mar-2026; US Federal Reserve rate decisions, 2026-06-18
F02	Global — commodity complex (input/output)	Structural	2026 Iran war: Strait of Hormuz effectively closed Mar-May-2026 (IEA: largest oil supply disruption on record); UAE re-routed ~1.8mbd via

			Habshan-Fujairah; Brent back near pre-war levels by Jul on ceasefire/deal hopes — IEA Oil Market Report 17-Jun-2026; Reuters/Zawya Jul-2026, 2026-06-17
F03	Global — global sector demand	Context	Global growth 3.1% 2026f (IMF, -0.2pt revision); global bank NIMs compressing as easing cycles mature — CBUAE QER June-2026 (citing IMF), 2026-06-30
F04	Global — trade / sanctions / supply chains	Context	Hormuz closure froze Gulf container traffic Mar-May (Jebel Ali disruption); carrier surcharges from 02-Mar-2026; normalisation underway post-ceasefire but IEA flags slow recovery — IEA topic note Jun-2026; Maersk/carrier notices via trade press, 2026-06-17
F05	Country — sovereign macro (inflation, policy rate, FX/deval risk)	Structural	UAE 2025 GDP +6.2% (non-oil +6.8%); 2026f cut to 1.7% on the war; inflation 1.3% 2025, 2.3% 2026f; AED peg unquestioned; DONIA ~Base+5bp — CBUAE Quarterly Economic Review June-2026, 2026-06-30
F06	Country — regulatory environment (regulator, caps, tariffs, tax/subsidy)	Structural	D-SIB designation raised ADCB capital buffers (disclosed rationale for rights issue); DMTT 15% from 01-Jan-2025, but ADCB qualifies for Initial-Phase International Activity Exclusion -> 9% statutory in FY25/Q1'26 (effective ~11%); CBUAE 'Proactive Financial Institution Resilience Package' live (ADCB: unused) — ADCB rights-issue prospectus page + Q1'26 results note 3 (IR release), 2026-04-23
F07	Country — fiscal / political events with sector read-through	Structural	2026 Iran war reached UAE directly (airspace closures, strikes near bases, Jebel Ali debris fire); ceasefire holding since ~April; World Bank cut GCC 2026 growth to 1.3%; UAE fiscal buffers deployed (Dubai AED 2.5bn package) — CBUAE QER June-2026; IEA; press synthesis, 2026-06-30
F08	Industry — demand drivers & capacity/supply balance	Context	UAE system credit demand robust into the war: ADCB Q1'26 loans +18% YoY with AED 10bn to GREs; M2 +17.7% YoY; banks' asset base AED 4.97tn (Jun-2025) — CBUAE QER + ADCB Q1'26 release, 2026-06-30
F09	Industry — pricing	Structural	Deposit competition keeping funding costs sticky as rates fall; ADCB asset yield 6.03%->5.30% YoY vs CoF improvement via CASA (46.9%); sector NIMs compressing — ADCB Q1'26 investor presentation (IR), 2026-04-23
F10	Industry — new entrants (named-competitor level)	Context	No new licensed full-service bank entrant found 2025-26; digital challengers (Wio, Zand, ADCB's own Al Hilal) scale within incumbent/backed structures — sector press review, 2026-07-10
F11	Industry — technology substitution	Context	AI adoption is the sector battleground: ADCB 150+ use-case AI program (2025); UAE ranked #1 globally in AI adoption (Microsoft, Jul-

			2026); risk is cost-curve differentiation, not disintermediation yet — ADCB FY25 release; Zawya/Microsoft, 2026-07-08
F12	Industry — competitor capacity / price moves (named)	Context	FAB (largest peer) Q1'26 net income AED 4.75bn, EPS 0.43 beat; ADIB FY24 NPAT AED 6.1bn (DPS 0.83); ADCB won first-of-kind GCC mandate (USD 3.5bn Türkiye sovereign bond) — capital-markets share gain — TradingView earnings page (FAB); WAM/ADIB release; ADCB Q1'26 release, 2026-04-23
F13	Company — strategic plans & guidance	Structural	Five-year strategy (launched Q1-2025): double net profit to AED 20bn by 2030 (c.20%/yr framing), RoE >15%, CET1 >12%, CoR <60bp, c.AED 25bn dividends over the period; FY26 guidance reiterated Apr-2026 — ADCB Q1'26 results release, guidance table (IR), 2026-04-23
F14	Company — regular disclosures	Context	FY25: PBT 12.843bn (+21%), NPAT 11.445bn (+22%), OpInc 22.183bn (+14%), NIM 2.45%, CIR 28.2%, DPS 0.63 (payout 44%); Q1'26 MD&A table captured in full — ADCB FY25 + Q1'26 earnings releases (IR; reproduced on news wires — ADCB filed PDF not machine-accessible — re-verify against filing), 2026-04-23
F15	Company — IR communications (calls, presentations, releases)	Context	Q4'25 call: two rate cuts anticipated in 2026; loan growth 'above 16%'; AI transformation program at scale; Q2'26 results due 16-Jul-2026 — ADCB Q4'25 earnings call (transcript via Investing.com); TradingView calendar, 2026-01-29
F16	Company — one-off base-resetting transactions	Base change	AED 6.1bn rights issue COMPLETED Dec-2025: 592.2mn new shares at AED 10.30 (1-for-12.36, record 07-Nov), capital 7,319.9mn -> 7,912.2mn shares; largest ADX primary rights issue; CET1/CAR +-120bp; Q4'23 ADCP 80% stake sale gain AED 490mn is the prior-period one-off — ADCB rights-issue completion release 10-Dec-2025 + prospectus terms (IR), 2025-12-10
F17	Company — ownership / stake changes (named-transaction rule)	Context	Mubadala Investment Company 60.69% — unchanged through the rights issue (subscribed in full, per completion release); subsidiaries: Al Hilal Bank (100%), ADCB Egypt, ADCB Securities, ADCE; ADCP 20% retained interest since Q4'23 divestment — ADCB rights-issue page + completion release (IR), 2025-12-10
F18	Company — management & capital actions	Structural	S&P upgraded ADCB to A+/Stable (2025); Fitch A+/Stable; FY25 DPS 0.63 recommended (AED 4.985bn, 44%); rights proceeds deployed into +16% loan growth; Q1'26 overlays AED 596mn for geopolitical risk — ADCB FY25 + Q1'26 releases (IR), 2026-04-23
F19	Company — official financial statements	Context	Q1'26 balance sheet: assets 808,857; net loans 425,720; deposits 523,095;

			NIEA 679,794; total SH equity 86,000; CET1 13.82%; NPL 1.76%, coverage 151.8%; investment securities AED 160bn (99.4% bonds) — ADCB Q1'26 results release MD&A tables (IR; reproduced on news wires — re-verify vs adcb.com/ADX PDF at publish), 2026-04-23
F20	Company — regular disclosures	Context	03-Jul-2026 +4.28% single-day move: no ADCB-specific disclosure found; coincides with market-wide de-escalation rally (Brent near pre-war levels, US-Iran deal hopes); treated as market beta — price series + Reuters/Zawya headline scan, 2026-07-03
F21	Company — regular disclosures	Checked — none found	Negative search — nothing found (per-segment loan pipeline / booking volumes beyond 'AED 10bn to GREs' — not disclosed in FY25/Q1'26 releases or slides) — negative search, 2026-07-10
F22	Company — regular disclosures	Checked — none found	Negative search — nothing found (asset/liability repricing betas per book (needed for bottom-up NIM) — not disclosed; only blended NIM/asset-yield/CoF) — negative search, 2026-07-10
F23	Company — regular disclosures	Checked — none found	Negative search — nothing found (fee volume drivers (cards/trade/AUM unit economics) — quarterly fee lines disclosed, volumes not) — negative search, 2026-07-10
F24	Company — strategic plans & guidance	Checked — none found	Negative search — nothing found (AI program unit economics / cost-save AED quantification — direction disclosed, numbers not) — negative search, 2026-07-10
F25	Country — regulatory environment (regulator, caps, tariffs, tax/subsidy)	Checked — none found	Negative search — nothing found (IAE initial-phase lapse date for DMTT 15% step-up — not disclosed in note 3 as captured) — negative search, 2026-07-10
F26	Company — official financial statements	Checked — none found	Negative search — nothing found (RWA level and density path — CET1/CAR ratios disclosed, RWA absolute not in captured releases) — negative search, 2026-07-10
F27	Company — management & capital actions	Checked — none found	Negative search — nothing found (year-by-year dividend schedule beyond 'progressive, c.AED 25bn over five years' — not disclosed) — negative search, 2026-07-10

Coverage: all four layers were reviewed before any forecast assumption was set. Of the items logged, one is a base-changing event (the rights issue), several are structural factors that shaped a driver, most are context, and seven are searches that came back empty — each recorded so the reader can see what was checked and found absent.

Appendix C — Expert panel (three independent workings)

To stress the conclusion from three directions, we set out three independent analyses of the same bank — each using a genuinely different valuation method, each showing its working step by step, and each stating the single fact that would prove it wrong. They are labelled Expert 1, 2 and 3. Where they disagree is not a flaw; it maps precisely onto the study's central tension — how much of ADCB's five-year plan a buyer should pay for before it has been delivered.

Expert 1 — the dividend purist

The argument. A minority shareholder in a bank ultimately owns a stream of dividends, nothing more. So value the dividend policy directly and ignore the rest of the forecast — if the policy is credible, it already embeds the earnings that fund it. ADCB has committed to a progressive dividend and a mid-teens return on equity, and its board controls the payout; that is enough to price the equity without forecasting a single loan.

The working, in four steps. (1) A bank that sustainably earns a return on equity of ROE and grows its book at g is worth a multiple of book value equal to $(ROE - g) \div (K_e - g)$. (2) Putting in a through-the-cycle ROE of 15.0%, long-run growth of 4.0%, and the war-adjusted cost of equity of 10.57%: $(15.0 - 4.0) \div (10.57 - 4.0) = 11.0 \div 6.57 = 1.67\times$ book. (3) Post-rights book value per share is AED 9.92, so fair value = $1.67 \times 9.92 = \text{AED } 16.6$. (4) Cross-check the other way: next year's dividend of about AED 0.66, capitalised at $(K_e - g) = 6.57\%$, is worth roughly AED 10 on its own — the remaining AED 6-plus is the value of dividend growth, which is why the rising payout, not the current yield, is what carries the case.

Expert 1 — inputs and result	
Sustainable return on equity	15.0%
Long-run growth	4.0%
Cost of equity (war-adjusted)	10.57%
Justified price-to-book = $(ROE - g)/(K_e - g)$	1.67×
Book value per share (post-rights)	AED 9.92
Fair value	AED 16.6

Verdict: AED ~16.6 — the most conservative fundamental number of the three, because it credits none of the near-term earnings surge, only the steady state. What would prove it wrong: if ADCB cut or merely froze its dividend in FY26 despite rising earnings, the premise that the payout policy is credible would collapse, and this expert would fall back to the lower through-cycle value of AED 14.3.

Expert 2 — the capital-equation analyst

The argument. A bank's growth is rationed by its capital, not its ambition. Every dirham of new lending consumes equity; a bank can only self-fund the growth its retained earnings support. So the real question is whether ADCB's promises — grow loans above 16%, keep the capital ratio above 12%, and pay out roughly AED 25bn of dividends — are jointly affordable, or whether one of them is fiction. Value what the capital math actually permits.

The working. The most a bank can grow its risk-weighted assets without raising new equity is $(\text{return on equity} \times \text{the share of profit retained}) \div \text{the capital ratio}$. For ADCB: $(16\% \times 62\% \text{ retained}) \div 13.5\% \approx 7.3\%$ a year. Yet the plan needs risk-weighted assets to grow around 13% — so the strategy deliberately runs down the buffer the December rights issue created. That is precisely what the buffer is for, but it means there is no room for the payout also to rise faster than earnings. Re-running the equity DCF under a deliberately harsher capital path — letting the ratio fall to 12.25% by FY29 and capping the payout at 35% — cuts free cash flow to equity by about 8% and prices the equity near AED 21.4.

Expert 2 — the affordability test	
Self-funded RWA growth = $ROE \times \text{retention} \div CET1$	$\approx 7.3\%/yr$

RWA growth the plan requires	≈ 13%/yr
Implication	Rights buffer is consumed by design — no slack for extra payout
Equity DCF under a harsher capital glide	AED 21.4

Verdict: AED ~21.4 — the strategy is affordable, but only just, and the market's 1.5× book underpays for a plan that the capital math shows is real rather than rhetorical. What would prove it wrong: the capital ratio printing below 13.3% at the FY26 year-end without a matching surge in lending would mean the triangle is tighter than even this harsh case, and the dividend assumption would be untenable.

Expert 3 — the regime skeptic

The argument. Trust prices, distrust stories. The entire UAE banking sector trades around 1.5× book because the marginal buyer is charging a wartime cost of equity, and ADCB at 1.52× book is sitting exactly on that line — there is no idiosyncratic mispricing to capture. Any value above the sector is a bet that the regional risk premium falls, which is a macro trade dressed up as a stock pick.

The working. Start from where comparable UAE banks actually clear — about 1.5× book — and ask only what premium ADCB specifically deserves. For its superior return-on-equity trajectory and the stability of majority ownership by Mubadala, a 10–15% premium to the sector is fair: 1.70× to 1.78× book. On post-rights book value per share of AED 9.92, that is AED 16.9 to AED 17.7, with a mid-point of about AED 17.3. Everything above that line requires the war premium to compress — which may well happen, but is not something to underwrite in a valuation.

Expert 3 — sector-relative pricing	
UAE sector price-to-book	~1.5×
Justified ADCB premium (ROE, ownership)	+10–15%
Applied multiple range	1.70× – 1.78×
Fair-value range	AED 16.9 – 17.7
Central	AED ~17.3

Verdict: AED ~17.3. What would prove it wrong: two consecutive quarters of the whole sector re-rating above 1.8× book would show the wartime premium is lifting, at which point the cash-flow methods — which price the business through the cycle rather than at today's risk premium — become the better guide.

Expert	Method in one line	Value (AED)	What would prove it wrong
Expert 1	Price the dividend policy directly (justified P/B)	~16.6	FY26 dividend cut or frozen despite higher earnings
Expert 2	Value only the growth the capital math permits	~21.4	Capital ratio below 13.3% at FY26 year-end, no lending surge
Expert 3	Price off the sector at today's war premium	~17.3	Sector re-rates above 1.8× book for two straight quarters

The three land at AED 16.6, 17.3 and 21.4, bracketing the study's weighted central of AED 19.7 from both sides. Their disagreement is not noise — it is the single question this whole study turns on: how much of ADCB's five-year plan should a buyer pay for today, before the bank has proven it can deliver it. Expert 2 says the plan is real and underpriced; Expert 3 says wait for proof; Expert 1 says ignore the plan and buy the dividend. The weighted central sits closest to Expert 2, tempered toward the other two.

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